THE SESSION · POST-CLOSE READ

Software Slides, *Health Care Firms*

The Nasdaq fell 1.38% and the S&P 500 fell 0.31% as software shares slid on disappointing outlooks, while Brent fell 3.25% to $111.57 a barrel. Dividend Strategy +0.97% trailed DVY and beat SPY; Growth Portfolio −3.25% trailed IUSG.

S&P 500 ▼ 0.31% NASDAQ ▼ 1.38% DOW ▼ 0.25% VIX 17.20 BRENT ▼ $111.57

DIVIDEND STRATEGY

TRAILED DVY · BEAT SPY

+0.97% 1-DAY

FCI		+0.97%
DVY		+1.55%
SPY		−0.37%

YTD **+22.44%** vs DVY +17.70% · SPY +13.72%

GROWTH PORTFOLIO

▼ TRAILED IUSG

−3.25% 1-DAY

FCI		−3.25%
IUSG		−1.29%

YTD **+15.79%** vs IUSG +12.65%

THE SESSION

Stocks slipped on Thursday as software shares fell on disappointing outlooks and Alphabet weighed on the Nasdaq, while health care stocks gained as Eli Lilly rose. The Nasdaq fell 1.38% to 26,184, the S&P 500 fell 0.31% to 7,720 and the Dow fell 0.25% to 52,343; the VIX rose to 17.20 from 16.91. The Federal Reserve left interest rates unchanged on Wednesday. Brent fell 3.25% to $111.57 a barrel from $115.32. The official 10-year Treasury yield fell to 4.98% from 5.05%. IBIT fell 0.93% and ETHA fell 1.53%.

The Dividend Strategy rose 0.97%, behind DVY's 1.55% gain by 0.58 point and ahead of SPY's 0.37% decline by 1.34 points, with twenty-one of twenty-five holdings higher and four lower. General Dynamics rose 4.65% and added about 0.19 point, S&P Global rose 2.52% and added about 0.16 point, and Waste Management rose 2.55%, adding about 0.15 point. Caterpillar fell 9.25% and subtracted about 0.29 point after third-quarter results in which it held, rather than raised, its full-year outlook and warned of higher tariff costs; Broadcom fell 1.94% and subtracted about 0.13 point, and NatWest fell 1.33%, subtracting about 0.04 point.

A single holding's reset can set the tone for a sleeve's session, which is why position sizing matters; what owners are ultimately paid on is a business's earning power over years, not one quarter's outlook. ***Think Like an Owner.***

The Growth Portfolio fell 3.25%, behind IUSG's 1.29% decline by 1.96 points, with twelve of twenty-five holdings higher and thirteen lower. ServiceNow fell 26.95% and subtracted about 2.36 points after guiding to slower growth in current remaining performance obligations, a measure of contracted future revenue; Marvell fell 13.24% and subtracted about 0.51 point on reports that it is in advanced talks to acquire Lumentum, and Fortinet fell 20.09%, subtracting about 0.42 point, after lowering its full-year service revenue outlook despite third-quarter results that topped estimates. Atour rose 7.82% and added about 0.30 point, NXP Semiconductors rose 5.69% and added about 0.26 point, and SoFi Technologies rose 2.74%, adding about 0.13 point. On the year, the Dividend Strategy stands at +22.44% against DVY's +17.70%, a +4.74-point spread, with SPY at +13.72%; the Growth Portfolio stands at +15.79% against IUSG's +12.65%, a +3.14-point spread.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

ATAT +7.82% GROWTH
Rose to $32.66 without a company-specific catalyst identified.

NXPI +5.69% GROWTH
Rose to $266.00 without a company-specific catalyst identified.

GD +4.65% DIVIDEND
Rose to $370.82 without a company-specific catalyst identified.

DGX +2.97% DIVIDEND
Rose to $252.92 alongside gains in health care shares.

DECLINERS

NOW −26.95% GROWTH
Fell to $109.67 after guiding to slower growth in contracted future revenue.

FTNT −20.09% GROWTH
Fell to $139.10 after lowering its full-year service revenue outlook.

MRVL −13.24% GROWTH
Fell to $218.34 on reports of advanced talks to acquire Lumentum.

CAT −9.25% DIVIDEND
Fell to $647.39 after holding its full-year outlook and flagging higher tariff costs.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY
+22.44%
vs DVY +17.70% / SPY +13.72%
Spread vs DVY **+4.74 pts**

GROWTH PORTFOLIO
+15.79%
vs IUSG +12.65%
Spread vs IUSG **+3.14 pts**

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